Palantir Technologies Inc.

PLTR NYSE

Hold	$170.32 ▼ 2.90%	12M Price Target $185.00	52-Week Range $106.37 – $212.94	Market Cap $410.39B

PLTR: Rich Valuation Meets Reality Check After Earnings Guide

WHAT HAPPENED

- PLTR is down ~13% in a week (from $196 to $170) even though earnings were monster — 93% growth with 62% operating margins (meaning they keep 62 cents of every dollar after running the business). The problem is guidance: to hit next quarter's number, they need another 15% sequential revenue jump, which is a very high bar. Investors are basically saying "the results were great but you've priced in perfection, and any wobble gets punished."
- Insider selling cluster from Director Alexander Moore in mid-October (~$1M dumped at $193-196) and today's unusual put buying at $170-172.50 strikes tells you smart money was positioning for this drop before it happened.

WHY IT MATTERS

Here's the thing — PLTR isn't broken, it's just expensive. At a $410B market cap on roughly $4.8B in revenue, you're paying ~85x sales (investors paying $85 for every $1 the company brings in), which only works if growth stays near triple digits. The fact that the stock is dropping while the broader market (Consumer Disc +4.6%, Financials +3%) is ripping tells you this is a valuation-specific unwind, not a macro one — money is actively rotating OUT of PLTR into cyclicals. What to watch: if commercial revenue growth (the non-government side) decelerates even slightly next quarter, the multiple compression gets uglier fast because the "AI sovereignty" thesis leans heavily on commercial adoption to justify the price.

POLICY & POLITICAL WATCH

Palantir is uniquely tied to federal AI and defense spending — the FY2027 defense authorization and ongoing debates around AI procurement standards are the single biggest policy lever for this stock. Any executive action tightening AI export controls to China actually HELPS PLTR because it reinforces their "trusted Western AI" positioning with allied governments (UK, Israel, NATO). The risk to watch: if DOGE-style federal spending reviews or a continuing resolution delays new contract awards, PLTR's government growth engine stalls — and given government is still ~55% of revenue, that would hit hard.

IS IT EXPENSIVE?

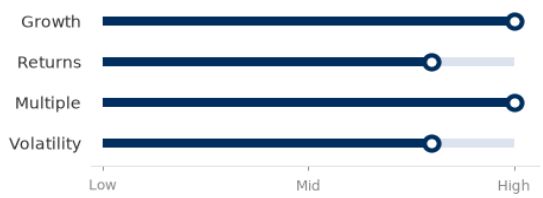
This is one of the most expensive large-cap stocks in the entire market — roughly 85x sales and ~235x forward earnings (you're paying $235 today for every $1 of profit they'll make next year). For context, even NVIDIA trades at a fraction of that sales multiple. The only way this valuation works is if PLTR sustains 50%+ growth for years AND margins keep expanding — any slip and the stock can lose 30% fast, which is partly what's happening now.

WHAT COULD GO WRONG

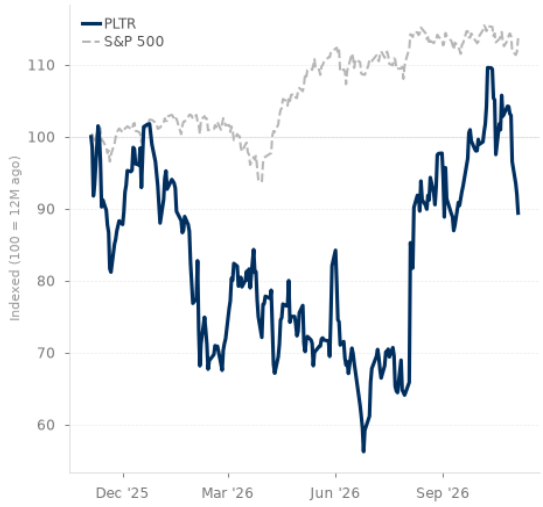
Key Data

Price (USD)	**$170.32**
12M Price Target	**$185.00**
Upside / (Downside)	**+8.6%**
Market Cap	**$410.39B**
FY2026E Revenue	**$4,800M**
FY2027E Revenue	**$6,700M**
FY2026E EPS	**$0.72**
FY2027E EPS	**$1.05**
Fwd P/E	**236.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

PLTR — Palantir Technologies Inc. | November 04, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$195.00**	$172.00	**$150.00**
6 Months	**$230.00**	$185.00	**$135.00**
1 Year	**$260.00**	$200.00	**$120.00**
2 Years	**$340.00**	$240.00	**$110.00**
5 Years	**$500.00**	$320.00	**$140.00**
10 Years	**$900.00**	$500.00	**$180.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+4.6%), Staples (+3.5%), Financials (+3%) — this is a classic "risk-on but rotating toward cyclicals and rate-sensitive names" pattern, likely on softer rate expectations or stimulus optimism.

COOLING OFF: High-multiple AI/software names like PLTR are the funding source for this rotation — money leaving the most expensive growth stories to chase cheaper cyclicals.

ROTATION WATCH: Classic "sell your winners to buy the laggards" dynamic — the market is taking profits in the AI poster children (PLTR, maybe NVDA) and redeploying into beaten-down consumer and financial names. This usually lasts 2-4 weeks before growth bounces back.

RELATED PLAY: If you want AI exposure without PLTR's valuation risk, look at the infrastructure layer — data center REITs, power/utility names tied to AI buildout (VST, CEG), or more reasonably-priced software names. The "picks and shovels" play is less volatile than owning the pure-play.

WHO'S WINNING IN THIS SPACE?

- ORCL (Oracle): Winning the "enterprise AI infrastructure" trade at a much more reasonable multiple — government cloud contracts are a tailwind.
- MSFT (Microsoft): Bundling AI into existing enterprise seats, which is exactly the competitive pressure PLTR faces, but Microsoft wins either way.

PLTR CONTEXT: PLTR is LAGGING its AI peer group this week, which is notable — when the highest-flying name in a theme starts underperforming others in the theme, it often signals the leadership is changing. Doesn't mean PLTR is done, but it means the easy money ($100 to $212 run) is behind us and now the stock has to earn each new high the hard way.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — great business, phenomenal execution, but the valuation makes me cautious about chasing here.

POSITION SIZE: 2-3% of portfolio — the story is real but the volatility is brutal, so size it small enough that a 30% drawdown doesn't ruin your week.

ENTRY POINTS: I'd wait for $150-160 on broader market weakness; chasing at $170 right into a knife that's been falling for a week isn't great risk/reward.

TIME HORIZON: 12-24 months — the catalyst is sustained government AI spending plus commercial adoption proving out. Needs multiple quarters to play out.

WHEN TO BAIL: If commercial revenue growth drops below 50% year-over-year, or if a federal budget fight meaningfully delays contract awards — those are the two pillars holding up the multiple.

HEDGING: Simplest hedge is just owning less of it. If you want to get fancy, buy put options at the $160 strike expiring 3 months out — think of it as cheap insurance that pays off if the stock drops another 10%+.

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